



The Penny Question

Student copy (project or hand out)

- 1 The United States Mint has reported for years that the one-cent coin costs more to make than it is worth. A penny buys nothing on its own, yet it now costs more than a penny to strike and ship, lately closer to three cents than to one. The figure has stayed above face value every year since 2006. The nickel fails the same test, costing the Mint more than five cents to put a five-cent coin into circulation. Per coin the loss is trivial. In aggregate it is not, because the coins are made by the billions.
- 2 Other countries have already run the experiment. In its 2012 budget the Canadian government announced it would stop making the penny, and the Royal Canadian Mint ended distribution the following February. Cash purchases in Canada are now rounded to the nearest five cents, while electronic payments, which cost nothing to round, still settle to the exact cent. Australia withdrew its one and two-cent coins decades earlier. None of these governments has moved to bring the small coin back.
- 3 The case for keeping the penny is not empty. Rounding falls only on cash, which is used more by people with the least, so a price rounded up at the register is a small tax on exactly those buyers. Pennies still fill charity jars and school fundraisers. And a currency carries habits and attachments that a balance sheet does not record; the one-cent coin has worn Lincoln's profile since 1909.
- 4 The evidence has not been kind to that case. Studies of cash transactions have found that rounding to the nearest five cents nets out close to zero for buyers over time, because prices round down about as often as they round up. Electronic payment, now most of retail, is untouched either way. The charities that once counted pennies increasingly ask for a card instead. The coin has become a rounding error in the economy it was built to serve.
- 5 What keeps it in circulation is mostly inertia. Ending the penny would take an act of Congress, which has not come, while the Mint goes on striking a coin it loses money on and a lobbying group funded in part by the zinc that goes into the blanks argues for keeping it. In Ottawa, the missing coin has not been missed. The American penny stays in production, by default rather than decision.

AP-style multiple choice:

1. The relationship between the third paragraph and the fourth is best described as one in which the writer first
 - A) raises the main objections to the penny, then concedes that they are valid
 - B) states a personal preference for the penny, then supports it with statistics
 - C) presents two competing studies, then explains why their findings conflict
 - D) grants the strongest case for keeping the penny, then turns the evidence against it

2. In context, the final sentence ('The American penny stays in production, by default rather than decision') primarily serves to

- A) credit lawmakers with deliberately preserving a familiar tradition
- B) concede that the penny still serves a genuine practical purpose
- C) predict that Congress will vote to eliminate the coin in the near future
- D) frame the penny's survival as the result of inaction rather than deliberate choice

Discussion questions:

1. The writer never says outright that the penny should be abolished, yet most readers finish the piece thinking it should. How does building the case almost entirely from costs, precedents, and figures, rather than from open argument, shape the way the conclusion lands?
2. Paragraph 3 spends its length making the best case for keeping the penny before paragraph 4 answers it. What does the writer gain by stating the opposing case fairly, and at length, first?

Writing prompt (homework or extended in-class, Q3 argument):

The opener suggests that the penny stays in circulation 'by default rather than decision.' Write an essay that argues your position on the extent to which a society should keep a long-standing convention after its original usefulness has faded. Use evidence from your reading, experience, or observation to support your argument.